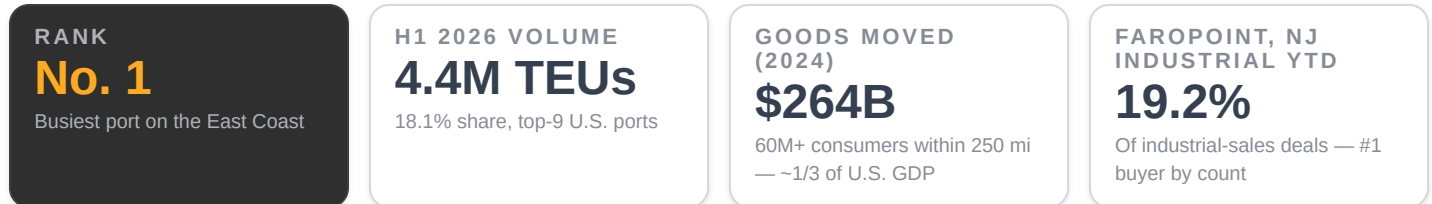


Case study | Port-driven demand and the NNJ shallow-bay market

How the Port of NY/NJ's throughput becomes granular, diversified shallow-bay demand in Northern New Jersey — and why Faropoint's acquisition platform is built around capturing it.



The port backdrop

The Port of NY/NJ ranked as the third-busiest U.S. port at mid-year 2026, handling 4.4M TEUs in H1 — good for an 18.1% share of volume among the top nine reporting ports. Loaded import volume reached 2.2M TEUs. The port moved \$264B in goods in 2024 and provides access to more than 60 million consumers within a 250-mile radius, roughly one-third of the nation's GDP. Rail cargo totaled 341,671 containers in H1 2026 — meaningful, but still a minority share against truck-dependent flows. As trucking rates continue to rise, occupiers are increasingly prioritizing locations closer to the port to reduce drayage costs — a trend the Port Authority is reinforcing through infrastructure investment, including a landmark agreement to evaluate deepening navigational channels to 55 feet and a major redevelopment of the Newark-Elizabeth port complex's northern entrance.

Why this matters for NNJ specifically

Northern New Jersey sits directly in that truck-served radius — the closest, most built-out industrial geography to the port complex on the New Jersey side. The Port Region submarket itself is the largest in Northern NJ, with 84.1 million square feet of warehouse inventory. That proximity is precisely why NNJ carries some of the highest real estate and labor costs in the country: it's the price of access to the East Coast's leading container gateway.

More than distribution: what shallow bay actually houses

Import volume doesn't just create demand for warehousing — it seeds an entire ecosystem of businesses that need small-bay space to operate. Shallow-bay buildings in NNJ house last-mile distribution, light manufacturing and assembly, contractor and trade businesses (electrical, plumbing, HVAC, millwork), showroom and wholesale operations, food and beverage prep and distribution, e-commerce fulfillment and returns processing, and import-adjacent light assembly (kitting, packaging, light customization of goods landing at the port). These tenants are typically smaller local and regional operators, not national logistics users — part of why shallow-bay leasing is granular, relationship-driven, and less correlated to any single tenant's fortunes than large-format bulk space.

Where Faropoint fits

This is the exact dynamic Faropoint's NNJ platform is built around: high-frequency acquisition of infill, supply-constrained shallow-bay assets serving this diversified tenant base — not large-format bulk product built for a handful of logistics users. Faropoint is the No. 1 buyer in NJ's industrial market by deal count YTD 2026 — 5 deals, 9.8% of all tracked NJ industrial, land and IOS deals, widening to 19.2% when narrowed to industrial-sales transactions specifically. That deal flow gives the platform outsized, and growing, visibility into the off-market, relationship-driven activity this thesis depends on.

The takeaway for LPs. The story isn't "industrial is a good asset class," and it isn't just "distribution near ports is good." It's that port throughput seeds demand across a wide range of light-industrial, trade, and distribution users, all competing for the same scarce shallow-bay stock — in a market where rents keep climbing even as some new supply comes online. Faropoint's leading share of NJ deal volume shows the platform capturing that demand deal by deal, and its diversified tenant exposure means its fortunes aren't tied to any single tenant type or industry cycle.

WHAT FOLLOWS

